



MEMORANDUM

CN - No. 2023-0027

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: SEC Approval of Offshore Collateral in SBL Transactions |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : ACCEPTANCE OF OFFSHORE COLLATERAL IN SECURITIES BORROWING AND LENDING TRANSACTIONS INVOLVING AT LEAST ONE FOREIGN PARTY

DATE : May 24, 2023

Please be advised that the Securities and Exchange Commission ("SEC") has approved the Exchange's request to allow offshore collaterals for securities borrowing and lending ("SBL") transactions involving at least one foreign party, provided that, the participants are considered Qualified Buyers as defined under the 2015 Implementing Rules and Regulations of the Securities Regulation Code ("SRC Rules"). If represented by a prime broker, the client should be a Qualified Buyer who is properly apprised of the risks attendant to this kind of agreement. A prime broker refers to a large financial institution that offers a variety of services to large institutional clients or hedge funds. These services include, but are not limited to, execution of trades, settlement, financing, and custodianship.

The following offshore collaterals are allowed:

1. Cash in USD, EUR, JPY, GBP and AUD;
2. Government and agency debt of member-countries of the Organization for Economic Co-operation and Development with a minimum BBB rating; and
3. Constituents of benchmark indices of World Federation of Exchanges member-exchanges.

Pursuant to SEC Memorandum Circular No. 6, series of 2021 which amended SRC Rule 10.1.3, the following are considered as Qualified Buyers:

- i. Bank;

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- ii. Registered investment house;
- iii. Insurance company;
- iv. Pension fund or retirement plan maintained by the Government of the Philippines or any political subdivision thereof or managed by a bank or other persons authorized by the Bangko Sentral ng Pilipinas ("BSP") to engage in trust functions;
- v. Registered Securities Dealer;
- vi. An account managed by a Registered Broker under a discretionary arrangement as provided for in the other relevant provisions in the 2015 SRC Rules;
- vii. Registered Investment Company (e.g., mutual fund companies);
- viii. Provident fund or pension fund maintained by a government agency or by a government or private corporation and managed by an entity authorized accordingly by the BSP or the SEC to engage in trust function or in fund management;
- ix. A trust corporation that is authorized by the BSP to perform the acts of a trustee;
- x. Unit investment trust funds that are established in accordance with rules and regulations of the BSP;
- xi. A fund established and covered by a trust or IMA agreement under a discretionary arrangement in accordance with rules and regulations of the BSP (a discretionary arrangement means that the entity managing the fund is granted authority to decide on the investment of the trust funds or IMA funds);
- xii. A fund established and covered by a trust or IMA agreement under a non-discretionary arrangement in accordance with rules and regulations of the BSP, provided that the beneficial owner/s or principal/s of such fund possess the qualifications on financial capacity and sophistication as specified in SRC Rules 10.1.11.1 for natural persons, and 10.1.11.2 for juridical persons; and provided also, that the treatment of such fund as qualified buyer does not contravene the trust or IMA agreement;
- xiii. A fund established and covered by a trust or IMA agreement wherein the beneficial owner or principal of the fund has been deemed or conferred as a qualified buyer under SRC Sec. 10.1 (l) or SRC Rule 10.1.11;
- xiv. An entity with quasi bank license issued by BSP;
- xv. Pre-need company authorized by the Insurance Commission;
- xvi. Collective Investment Scheme authorized by the relevant regulatory authority pursuant to existing laws and regulations;
- xvii. A listed entity on the Philippine Stock Exchange, or a related body corporate of a Philippine Stock Exchange listed entity provided that it engages the service of a professional fund manager, through direct hire or via outsourcing to an authorized fund management entity;
- xviii. A foreign entity not being established or incorporated in the Philippines that, if established or incorporated in the Philippines, would be covered by one of the preceding paragraphs; and

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- xix. Such other person as the Commission may by rule or order determine as qualified buyers, on the basis of such factors as financial sophistication, net worth, knowledge, and experience in financial and business matters, or amount of assets under management

In relation to item (xix) above, natural persons and juridical persons who possess the qualifications under SRC Rule 10.1.11.1 and SRC Rule 10.1.11.2, respectively, shall also be considered Qualified Buyers.

For your information and guidance.

(Original Signed)

Ramon S. Monzon
President and CEO

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